

Investment Memorandum – United States Antimony Corporation (NYSE: UAMY)

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Executive Summary

United States Antimony Corporation (NYSE: UAMY) is a U.S. domestic producer and processor of antimony, a critical mineral used in defense systems, flame retardants, and industrial applications. The company is attempting a transition from historically subscale, operationally inconsistent processor to vertically integrated, policy-aligned domestic supplier.

Recent developments – including large-scale government and commercial contracts, capacity expansion initiatives, and tightening global supply – are indicative of a potential structural re-rating. This opportunity is conditional however: UAMY must demonstrate the ability to scale production and convert contracted demand into realized revenue.

At current levels, the market appears to be discounting execution risk, creating a high-risk, asymmetric setup driven by policy alignment and supply chain constraints rather than demonstrated operational performance.

Investment Thesis

The investment thesis rests on three interdependent pillars:

- **[1.] Antimony is growing in strategic relevance.**

Antimony is classified as a critical mineral due to its applications in:

- *Ammunition primers.*
- *Mission-critical defense systems*
- *Flame retardants*
- *Lead-acid batteries*
- *Emerging storage technologies.*

Global supply remains highly concentrated, with China historically dominating both mining and processing streams. Tightening supply and recent export controls have resulted in significant price appreciation (200% - 400% increase from 2024 - 2025). Demand is increasingly shaped by national security and geopolitical considerations rather than by spot commodity pricing.

- **[2.] UAMY occupies a rare – but unproven – position in the domestic supply chain.**

UAMY is currently one of the only United States-based entity with:

- *Existing antimony smelting infrastructure.*
- *Permitted operations within North America.*
- *Exposure across extraction, processing, and refining.*
- *Full general vertical integration.*

As supply chains are increasingly re-nationalized, domestic processing capacity carries strategic value. This advantage is structural, not operational. UAMY has yet to demonstrate capacity and consistency of execution at scale.

- [3.] **Contracted demand introduces potential revenue step-change.**

UAMY has recently secured:

- *A 5-year, \$245M sole-source IDIQ (Indefinite Delivery, Indefinite Quantity), contract with the U.S. Defense Logistics Agency (DLA).*
- *A 5-year, \$107M contract with a U.S. industrial manufacturer.*
- *A \$27M Defense Production Act (DPA) Title III grant for capacity expansion.*

If executed, these contracts imply a significant step-change relative to historical revenue (~\$8.7M in 2023 vs. ~\$125M guided for 2026). The company is transitioning from spot-price driven revenue source toward partially contracted, policy-supported demand conditional on delivery.

Business Overview

UAMY produces and sells antimony oxide, metallic antimony, zeolite products, and byproduct ancillary precious metals. Operations are located primarily in Montana and Mexico, with additional mining claims across Canada and Alaska. Historically, the company has operated at limited scale with volatile output, constrained by feedstock sourcing and processing capacity.

Financial Overview

Key financials include, but are not limited to:

- Revenue of ~\$8.7M (FY2023) > ~\$125M (FY2026 guidance).
- Gross margins of ~15%-25% > ~50%+ (target, driven by vertical integration of own feedstock).
- Balance sheet consisting of ~\$154M in total assets vs. ~\$13M in total liabilities (2025).

Despite strong forward projections, UAMY remains unprofitable, reflecting ongoing reinvestment and expansion costs. The magnitude of projected revenue growth implies a step-change in scale that the company has not previously demonstrated.

Market Mispricing

UAMY continues to be valued as a cyclical, micro-cap, price-taking, commodity processor, reflecting its historical profile: limited in scale, inconsistent in execution, and capitally constrained. This backwards looking classification fails to incorporate two structural shifts in the company's business:

- **[1.] Demand is increasingly policy driven.**
Government procurement orders introduce inelastic demand, less sensitive to spot pricing dynamics.
- **[2.] Domestic mining, processing, and refining capacity has embedded strategic value.**
Supply chain security has become a constraint rather than a convenience.

This mispricing persists due to:

- Lack of demonstrated execution at scale.
- Absence of sustained profitability.
- Limited institutional participation.

At current price levels, the market is discounting future delivery and execution risk, not ignoring opportunity.

Key Risks

Key risks include, but are not limited to:

- **[1.] Execution Risk.**
UAMY must simultaneously scale production, integrate domestic feedstock and otherwise, and deliver on contracts – areas where the company has had particularly limited historical success.
 - *The \$245M DLA agreement represents a maximum ceiling, not guaranteed revenue. Actual drawdowns are contingent on procurement activity and timing.*
 - *UAMY is targeting a ~5x increase in smelter throughput. Delays or underperformance would directly impair contract fulfilment.*
 - *Full vertical integration assumptions depend on securing reliable ore feedstock supply, which has historically remained inconsistent.*
- **[2.] Dilution Risk.**
Ongoing capital expenditure requirements may necessitate issuance of equity, particularly if expansion costs overrun.
- **[3.] Commodity Exposure.**
Antimony pricing remains both volatile and opaque. A substantial decline in prices could lead to margin compression if not offset by contracted demand.
- **[4.] Policy Dependence.**
The UAMY thesis partially relies on sustained government prioritization of domestic supply chain and strategic reshoring. An adverse shift in policy or funding initiatives may weaken demand visibility.

Contingents

For the UAMY investment case to materialize:

- Capacity expansion must be delivered on schedule, within projected costs, and at scale.
- Government and commercial contracts must convert into consistent cash flow.
- Margin expansion must track guidance.
- Feedstock supply must stabilize.
- Antimony must remain a prioritized, strategic resource within U.S. policy.

Conclusion

UAMY represents a highly policy-driven, execution-dependent, structural re-rating opportunity. The core thesis does not question whether demand exists, but whether the company is able to match it. If UAMY is successful in converting strategic relevance into operational scale, it will also have been successful in transitioning into a critical domestic supplier with significantly higher valuation potential. In the event execution falls short, the company is likely to revert to its historical pattern of market underperformance and capital dilution.

At present, the market appears to be pricing in execution failure, creating asymmetric upside should even partial delivery occur.

Recommendation: **Long**